

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$4.75 ▼ 1.76%	12M Price Target \$5.50	52-Week Range \$3.01 – \$9.39	Market Cap \$2.27B
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BBAI: Reiterate Hold After PTG Cargo Win, Speculative Froth Cooling

WHAT'S CHANGED

- Stock down ~11% over four sessions (\$5.34→\$4.74), unwinding the post-PTG cargo deal/Cramer mention pop on >330M cumulative shares traded — classic speculative cooldown rather than fundamental news.
- Simply Wall St. valuation note flags first commercial AI shipping deployment with PTG and a growing backlog as the new bull narrative — but no SEC filings overnight to corroborate contract economics.

IMPLICATIONS

The PTG cargo security deployment is a credibility data point for BBAI's commercial pivot beyond defense/IC concentration, but at \$2.27B market cap on ~\$175M projected FY26 revenue (~13x EV/Sales), the price embeds a step-function in backlog conversion that has not yet shown up in print numbers. Cramer's "speculate, can't recommend" framing and the GuruFocus "profitless tech caution" piece signal that the marginal buyer is retail-driven momentum, not institutional accumulation — consistent with 42.3% institutional ownership and CFO/Director selling into strength. With Healthcare and Financials leading today's tape and no defense-tech tailwind, BBAI lacks a sector bid to absorb the technical unwind.

VALUATION

On EV/Revenue (~13x FY26E, ~10x FY27E), BBAI trades at a premium to defense-IT primes (LDOS, CACI at 1-2x) and roughly in-line with PLTR-adjacent AI software peers despite materially lower gross margins (~25-28%) and persistent negative FCF. Our \$5.50 base PT implies ~8x FY27E sales, reflecting backlog optionality but discounting dilution risk; bull case to \$9.50 requires accelerating commercial book-to-bill >1.5x and gross margin expansion toward 35%. Multiple contraction is the dominant risk if the AI sentiment trade rotates.

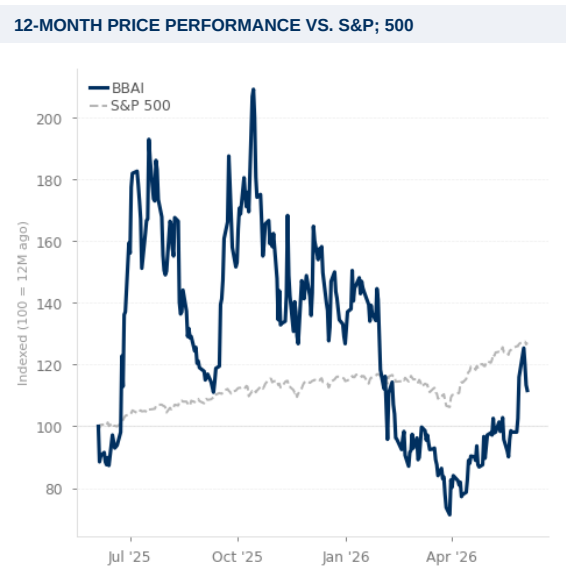
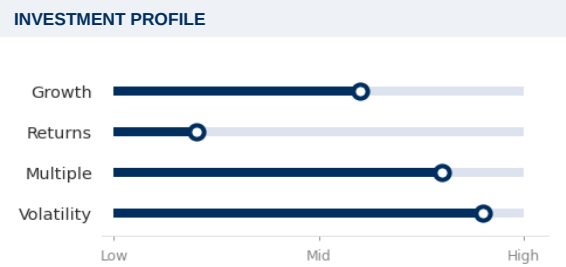
KEY RISKS

- Equity dilution: company has historically funded burn via ATM issuance; share count creep caps upside even on operational wins.
- Customer concentration in federal/IC budgets exposes BBAI to CR delays and FY27 appropriations risk.
- Speculative ownership base (P/C 0.21, retail-driven moves) creates asymmetric downside on any guide-down or contract slip.

RECENT NEWS

A Look At BigBear.ai Holdings (BBAI) Valuation After First Commercial AI Shipping Deployme... Simply Wall St. · 2026-06-04 03:17

Key Data	
Price (USD)	\$4.75
12M Price Target	\$5.50
Upside / (Downside)	+15.8%
Market Cap	\$2.27B
FY2026E Revenue	\$175M
FY2027E Revenue	\$215M
FY2026E EPS	(\$0.42)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$5.75	\$4.85	\$3.90
6 Months	\$7.50	\$5.50	\$3.40
1 Year	\$9.50	\$5.50	\$3.00
2 Years	\$12.00	\$7.00	\$2.50
5 Years	\$20.00	\$10.00	\$1.50
10 Years	\$35.00	\$15.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare (+3.00%), Financials (+2.63%)

COLD SECTORS: Comm. Services (-3.21% 5D), Utilities (-1.51% 5D)

ROTATION WATCH: Defensive-to-cyclical rotation into Healthcare/Financials suggests risk appetite is selective, not broad — speculative small-cap AI is not the leadership cohort this week, which pressures BBAI's marginal bid.

BYPRODUCT PLAY: Commercial AI deployment in logistics/cargo (PTG win) creates a read-through for port-tech and supply-chain visibility names; watch ZBRA, KTOS, and edge-AI infrastructure suppliers as second-derivative beneficiaries.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Sustains 20%+ commercial revenue growth with positive FCF and Rule of 40 inflection — the template BBAI is being valued against.
- KTOS (Kratos): Defense-tech peer trading at more rational ~3x EV/sales with hardware backlog visibility and DoD program wins.

BBAI CONTEXT: BBAI is lagging both — PLTR on fundamentals (margins, scale), KTOS on valuation discipline. Recent four-day pullback while broader tape rallied confirms relative weakness; BBAI needs a hard catalyst (earnings beat, major contract award) to close the gap rather than passive multiple expansion.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$3.75-4.25 on capitulation

Time Horizon: 12-18 months

Thesis Invalidation: FY26 revenue guide cut, contract backlog stalls, or dilutive raise below \$4

Hedging: Pair vs long PLTR or short-dated BBAI puts to fund covered calls